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Applied Materials: Plenty of Flash Left in the Pan

Semiconductor-tool maker posts another strong quarter and forecast—easing fears of a peak

By Dan Gallagher
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Investors worried about developing a case of altitude sickness with Applied Materials AMAT **-4.29%** ▼ can breath a little easier now.

The maker of semiconductor-manufacturing gear posted another strong quarterly report late Thursday, along with a forecast that easily topped Wall Street's expectations. Revenue surged 45% year over year, to $3.5 billion, and operating income more than doubled, to $940 million. Applied's operating margin of 27% for the quarter ended April 30 was the company's highest in at least seven years, according to data from Capital IQ.

That will come as some relief to investors who have been rallying around the once-temperamental stock. Over the last 18 months, Applied has risen to Thursday's closing price of $43.91 from around $15. This has tracked a generally strong interest in chip-equipment companies that have been buoyed by strong purchasing activity from their customers.

Those customers, like Samsung, Intel and TSMC, are rushing to keep up with demand for components such as memory chips and organic light emitting diode, or OLED, displays for smartphones. Applied's sales of Flash memory equipment jumped 19% year over year to about $793 million.

An Applied Materials Inc. sign outside a facility in Santa Clara, Calif. DAVID PAUL MORRIS/ BLOOMBERG NEWS

Applied's share price is now at its highest mark in 17 years, which will likely spark understandable fears of a downturn given the cyclical nature of this industry. But pricing and demand for Flash and DRAM memory are expected to stay strong throughout the year, and Applied's own forecast projects yet another quarter of solid double-digit growth.

The company's expanded earnings have kept the multiple in check at around 15.6 times forward earnings—in line with the PHLX Semiconductor Index. Applied's peak, in other words, isn't yet at hand.

Write to Dan Gallagher at dan.gallagher@wsj.com